6.5 The Economics of Education

Video: Economics of Education (Crash Course Economics)

Why Governments Fund Education

Education is never actually free; there is always an _____. For college, that includes the _____ you could have earned by going straight into the workforce.

Education is a _____: it helps individuals earn more, and it benefits society. More education increases productivity, GDP, and standards of living.

Education in the U.S.

One of the biggest problems in U.S. education is _____: students from low-income families tend to have lower test scores.

Approach	Main Idea
More _____	Pay for early education and give extra money for disadvantaged students
More _____	Charter schools, _____ programs, and open enrollment let parents pick schools
Teacher incentives	Reward teachers for improving student performance

Is College Worth It?

On average, college graduates earn more. Economists call this the _____. College grads also have a lower _____ rate.

But college graduates are not a _____ group; many come from advantaged backgrounds, so higher pay is also about life circumstances.

Theory	Why College Grads Earn More
	College actually teaches you skills for higher-income jobs
	A degree shows employers you are smart and hard-working in a way that can't be faked

Studies comparing people who nearly finished college with those who got a degree suggest that _____ apply.

The Cost of College

U.S. students have over 1 trillion dollars of _____. In 2012, almost 70 percent of students took out loans.

Tuition has risen, but the _____ is not what most students pay after scholarships and grants.

Other reasons for rising debt and costs: _____ colleges, more graduate students, luxury campus features, and more administrators.

Is It Worth the Money?

On average yes, as long as you _____. Only a little over half of students who enroll graduate within 6 years.

Good pay can also be found in careers learned through a _____ or an _____, such as mechanic, plumber, or electrician.

Think About It

Using the ideas from the video (opportunity cost, debt, finishing), what path after graduation makes the most sense for you, and why? _____